> . . . District collectors and sub-collectors play an important role when it comes to rains and water. They assess the ground situation to decide whether to declare a drought or to declare a flood—two events often generated by the monsoon rains, or lack of them.
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> It was during that time that Mr. Subbarao realized 'my emotional well-being, my career prospects depended on rains,' he said at the RBI function.
>
> Nearly four decades later, he remains hostage to the monsoon.
>
> Now at the end of my career as the Governor of Reserve Bank, I realize that (my) entire performance will depend on the monsoon and not what I do about interest rates,' Mr. Subbarao quipped. 'If there is good monsoon, it is ok. Otherwise the Governor of the Reserve Bank is to be blamed.'

Humour also helps in making a point. I was asked once if I consult the finance minister on monetary policy decisions. I replied, no, I mostly decide by the toss of a coin: heads I raise rates; tails I cut rates, and if the coin lands on the edge, I consult the finance minister.

Humour also aided me in responding to criticism on the confusion about which measure of inflation the Reserve Bank was using. During my time, we were using wholesale price index inflation as the fulcrum of monetary policy instead of Consumer Price Index inflation which is, in fact, what people experience in the marketplace. This was clearly a second-best option but we were handicapped by the fact that there was no single CPI representative of the whole country. In fact, the Reserve Bank, on my watch worked with the government to develop two all-India CPIs—one for rural and the other for urban. Even as the new indices were brought into force starting January 2011, we could not shift immediately to CPI inflation-targeting for want of long enough historical data series. To facilitate the transition though, our monetary policy documents contained analysis of both CPI and WPI inflation. Some confusion was inevitable in this transition, but the analysts understood what we were trying to communicate. Nevertheless, there was criticism about this confusion.

I used my inaugural speech at the Annual Statistics Day celebrations in 2012 to respond to this criticism by deploying one of my hair jokes. I said: 'Most analysts think that I am unable to interpret inflation. There must be some truth to that because even at a personal level, I am failing on that count. Twenty years ago, when I had a thick mop of hair, I used to pay ₹25